
FINANCIAL MANAGEMENT PRACTICES AND THE PERFORMANCE OF DHAKA BANK PLC, SOUTHEAST BANK PLC & HEIDELBERG MATERIALS BANGLADESH PLC

Working Capital, Capital Structure, Dividend Policy, Investment Decisions &
Corporate Governance

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Dhaka Bank PLC | Southeast Bank PLC | Heidelberg Materials Bangladesh PLC

DSE-Listed Companies · Fiscal Years 2020–2024 · All Financials in Billions BDT

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Executive Summary

This report presents a comprehensive financial performance analysis of three listed companies operating in Bangladesh: Dhaka Bank PLC, Southeast Bank PLC, and Heidelberg Materials Bangladesh PLC. The study spans five fiscal years from FY 2020 through FY 2024 and examines five critical dimensions of corporate financial management working capital practices, capital structure decisions, dividend policy, investment activities, and corporate governance and their collective impact on firm performance as measured by profitability, liquidity, and market valuation.

Dhaka Bank PLC and Southeast Bank PLC are two prominent second-generation private commercial banks operating under the regulatory oversight of Bangladesh Bank. Heidelberg Materials Bangladesh PLC is the country's leading cement manufacturer and a subsidiary of the global building-materials conglomerate Heidelberg Materials AG. The inclusion of both financial-sector and non-financial-sector firms allows for a rich cross-sectoral comparison of financial practices.

The key findings of the study are as follows. In terms of profitability, Dhaka Bank demonstrated moderate but declining returns, with net income falling from BDT 2.14 billion in FY 2021 to BDT 1.28 billion in FY 2024 against a backdrop of sharply rising loan-loss provisions. Southeast Bank experienced an even sharper contraction, with net income collapsing to BDT 0.43 billion in FY 2024 from BDT 2.13 billion a year earlier, driven primarily by a surge in its effective tax rate to 76.91% and elevated credit costs. Heidelberg Materials, by contrast, maintained stable profitability in FY 2023 and FY 2024 (BDT 0.46 billion each year) after recording a net loss in FY 2022, benefiting from improved operating efficiency and a strong recovery of free-cash-flow.

On the capital structure front, both banks operate with inherently high leverage due to the nature of banking business. Dhaka Bank's debt-to-equity ratio rose sharply to 2.49x in FY 2024 from 1.29x in FY 2023, signaling increased balance-sheet risk, while Southeast Bank maintained a more stable leverage profile around 1.0–1.3x. Heidelberg Materials, a manufacturing entity, runs at substantially lower leverage and has been actively deleveraging, with its debt-to-equity declining to 0.36x in FY 2024.

Dividend decisions reflected diverging cash-generation capacities. Dhaka Bank cut its dividend per share by 50% in FY 2024, while Southeast Bank paid no dividend for the year. Heidelberg Materials maintained a consistent BDT 2.50 per share dividend, supported by strong free cash flow. From a working capital perspective, both banks experienced persistently negative operating cash flows driven by aggressive loan portfolio expansion, whereas Heidelberg Materials sustained positive operating cash flow throughout most of the study period.

The report concludes with targeted policy recommendations for each firm, covering credit-risk management, tax efficiency, capital optimization, and dividend sustainability, along with broader governance-improvement strategies applicable to all three entities.

Chapter 1: Introduction

1.1 Background of the Study

The financial sector and industrial sector of Bangladesh have undergone remarkable transformation over the past three decades. Since the liberalization of the banking industry in the 1990s and the gradual opening of the capital market, both banks and listed corporations have grown significantly in scale, complexity, and regulatory scrutiny. Against this dynamic backdrop, corporate financial decision-making — encompassing how firms manage their short-term liquidity, how they balance debt and equity in their capital structures, how they reward shareholders through dividends, how they allocate capital across competing investment opportunities, and how they are governed — has attracted sustained academic and practitioner interest.

The financial performance of a firm is the aggregate outcome of numerous interrelated decisions taken by its management and board of directors. Working capital management determines whether a firm can meet its short-term obligations without disrupting operations. Capital structure choices govern the cost of capital and the distribution of financial risk between debt and equity holders. Dividend policy signals management confidence and directly affects shareholder wealth. Investment decisions determine the long-term growth trajectory of the firm. And corporate governance provides the institutional scaffolding within which all these decisions are made and monitored.

Bangladesh's banking sector faces a unique set of challenges: a high level of non-performing loans (NPLs), rising provisioning requirements, tightening regulatory capital norms under Basel III, a compressed net interest margin environment, and an increasingly competitive deposit market. Private commercial banks like Dhaka Bank PLC and Southeast Bank PLC must navigate all these forces while delivering acceptable returns to shareholders. Simultaneously, the non-financial corporate sector faces challenges of its own — currency volatility, raw-material price shocks, energy costs, and sluggish domestic demand — all of which are visible in the financials of Heidelberg Materials Bangladesh PLC.

This study is motivated by the need to understand how representative firms from these two broad sectors manage their finances, and whether their financial management practices translate into superior long-term performance. The five-year window from FY 2020 to FY 2024 is particularly instructive because it encompasses the COVID-19 pandemic (FY 2020–FY 2021), the post-pandemic recovery (FY 2022), a global inflationary shock with its associated interest-rate cycle (FY 2022–FY 2023), and a period of normalisation (FY 2024). This wide macroeconomic variation provides a natural stress-test of the robustness of each firm's financial management.

1.2 Objectives of the Study

The overall objective of this study is to evaluate the financial management practices of three selected publicly listed Bangladeshi firms and to assess how these practices influence firm performance across multiple dimensions. The specific objectives are as follows:

Objective 1 – Working Capital: To evaluate the working capital practices of each sample firm, including the management of current assets, current liabilities, operating cash flows, and liquidity, and to assess the impact of these practices on short-term financial performance.

Objective 2 – Capital Structure: To analyse the capital structure choices of each firm — specifically the mix of debt and equity financing — and to evaluate how leverage affects profitability, financial risk, and firm value.

Objective 3 – Dividend Decisions: To evaluate the dividend policies adopted by each firm over the study period, examining payout ratios, dividend growth, and the relationship between dividends, earnings, and free cash flow.

Objective 4 – Investment Decisions: To evaluate how each firm allocates capital to long-term investments, including expansion of the loan portfolio for banks and capital expenditure for the manufacturing firm, and to assess the returns generated on invested capital.

Objective 5 – Corporate Governance: To evaluate the corporate governance frameworks of each firm, drawing on publicly available information about board composition, transparency, regulatory compliance, and their implications for long-term shareholder value creation.

1.3 Scope of the Study

The scope of this study is limited to three publicly listed companies in Bangladesh: Dhaka Bank PLC, Southeast Bank PLC, and Heidelberg Materials Bangladesh PLC. The analytical period spans five fiscal years from January 2020 to December 2024 (FY 2020–FY 2024), with all financial data sourced from published financial statements. The study focuses on quantitative financial analysis supplemented by qualitative observations on governance and strategy. It does not extend to primary data collection such as management interviews or questionnaires. Industry comparisons are drawn at a general level; no attempt is made to compile sector-wide benchmarks from all listed companies on the Dhaka Stock Exchange.

The financial data used covers income statements, balance sheets, cash flow statements, and key financial ratios. All monetary figures are denominated in BDT billions. The two banking firms are assessed using banking-specific metrics such as net interest margin, provision for loan losses, gross loans, and deposit growth, while the manufacturing firm is assessed using industrial metrics including gross margin, inventory turnover, asset turnover, and free cash flow margin.

1.4 Methodology of the Study

1.4.1 Data Collection

All data used in this study were sourced from the annual reports and audited financial statements of the three companies as filed with the Bangladesh Securities and Exchange Commission (BSEC) and published on the Dhaka Stock Exchange (DSE). The financial data

cover the income statement, balance sheet, and cash flow statement for each firm for the five fiscal years FY 2020 through FY 2024. Market capitalisation and per-share figures were sourced from DSE market data. No proprietary databases or subscription services were required; all data are publicly available.

1.4.2 Data Analysis Techniques

The study employs a combination of trend analysis, ratio analysis, and cross-sectional comparative analysis. Trend analysis involves examining the year-on-year trajectory of key financial metrics to identify structural shifts in performance. Ratio analysis involves computing and interpreting a standard set of financial ratios — profitability ratios (ROE, ROA, profit margin), liquidity ratios (current ratio, quick ratio), leverage ratios (debt-to-equity, debt-to-EBITDA), efficiency ratios (asset turnover, inventory turnover), and market ratios (P/E, P/B, dividend yield). Cross-sectional comparative analysis benchmarks each firm's ratios against those of the other sample firms to identify relative strengths and weaknesses. All analyses are presented with supporting data tables and charts.

1.5 Limitations of the Study

Several limitations should be acknowledged. First, the study relies exclusively on published financial statements, which may not capture off-balance-sheet exposures, contingent liabilities, or qualitative strategic factors that influence performance. Second, the comparison between two banks and one manufacturing company is inherently cross-sectoral; direct numerical benchmarking across sectors must be interpreted cautiously given differences in business models, regulatory environments, and accounting conventions. Third, the study covers only three firms, which limits the statistical generalisability of the findings. Fourth, external macroeconomic factors — inflation, interest-rate cycles, exchange-rate movements, and regulatory changes — that influence all three firms have been noted where relevant but have not been formally modelled. Fifth, corporate governance assessment is limited to qualitative observations due to the absence of comprehensive governance data in the public domain.

Chapter 2: Company Overview

2.1 Dhaka Bank PLC

Dhaka Bank PLC was incorporated in 1995 as a public limited company and commenced commercial banking operations in the same year. It is one of the third-generation private commercial banks of Bangladesh and is listed on both the Dhaka Stock Exchange (DSE) and the Chittagong Stock Exchange (CSE). The bank provides a wide range of commercial banking services including corporate banking, retail banking, SME banking, trade finance, treasury operations, and Islamic banking through its dedicated Islamic Banking Window. As of FY 2024, Dhaka Bank had total assets of BDT 432.84 billion, gross loans of BDT 271.89 billion, and total deposits of BDT 297.30 billion. The bank operates through a nationwide branch network.

Over the five-year study period, Dhaka Bank demonstrated consistent growth in its loan portfolio, increasing gross loans from BDT 199.52 billion in FY 2020 to BDT 271.89 billion in FY 2024, a compound annual growth rate (CAGR) of approximately 8%. Interest income on loans grew from BDT 17.63 billion in FY 2020 to BDT 27.73 billion in FY 2024. However, the bank's profitability has been under pressure, with return on equity declining from 10.65% in FY 2020 to 5.68% in FY 2024, largely due to rapidly rising provisioning requirements (provisions for loan losses nearly tripled from BDT 2.18 billion in FY 2020 to BDT 6.99 billion in FY 2024) and an escalating effective tax rate (35.84% in FY 2020 rising to 62.64% in FY 2024).

The market capitalisation of Dhaka Bank stood at approximately BDT 11 billion in FY 2024, with the stock trading at a price-to-book ratio of 0.48x — well below book value — reflecting investor concerns about asset quality and profitability sustainability. The bank's last close price of BDT 9.89 in FY 2024 compares with a book value per share of BDT 21.47, indicating significant market discount.

2.2 Southeast Bank PLC

Southeast Bank PLC was established in 1995 and is also a third-generation private commercial bank listed on the DSE and CSE. The bank offers a comprehensive suite of financial services including corporate lending, retail banking, trade finance, remittance services, and capital market operations through its brokerage subsidiary. As of FY 2024, Southeast Bank had total assets of BDT 545.86 billion — the largest of the three sample firms — gross loans of BDT 372.91 billion, and total deposits of BDT 408.03 billion.

Southeast Bank's financial performance has deteriorated meaningfully in FY 2024. Net income collapsed by 79.68% year-on-year to BDT 0.43 billion, against a backdrop of rising loan-loss provisions (BDT 6.76 billion), a sharp increase in the effective tax rate (76.91%), and declining non-interest income. The bank recorded a pretax income of BDT 1.87 billion but retained only BDT 0.43 billion after tax, reflecting the punishing impact of deferred tax movements and

surcharge on higher corporate tax rates in Bangladesh's banking sector. Earnings per share declined to BDT 0.32 in FY 2024 from BDT 1.60 in FY 2023, and no dividend was declared for FY 2024. Return on equity fell to 1.36%, and return on assets to just 0.08% — among the lowest levels seen across the study period.

Despite these short-term challenges, Southeast Bank maintains a relatively stronger balance sheet liquidity position than Dhaka Bank, with net cash of BDT 14.40 billion in FY 2024 (versus Dhaka Bank's net debt of BDT 33.30 billion). The bank also benefits from higher total deposit base and diversified non-interest income streams including remittance, trade commissions, and capital market fees.

2.3 Heidelberg Materials Bangladesh PLC

Heidelberg Materials Bangladesh PLC (formerly HeidelbergCement Bangladesh Limited) is a subsidiary of Heidelberg Materials AG, a German multinational and one of the world's largest building materials companies. It was incorporated in Bangladesh in 1956 and has been listed on the Dhaka Stock Exchange since 1984. The company operates cement manufacturing plants and is a leading producer and supplier of Ordinary Portland Cement (OPC) and Portland Composite Cement (PCC) in Bangladesh.

As a manufacturing company, Heidelberg Materials operates with a fundamentally different financial profile from the two banks. Revenue of BDT 14.74 billion in FY 2024 (down from a peak of BDT 17.96 billion in FY 2023) reflects the competitive and commodity-like nature of the cement business. Despite declining topline revenue, the company has maintained relatively stable operating margins (4.53% in FY 2024) and demonstrated strong free cash flow recovery, with free cash flow of BDT 1.78 billion in FY 2024 compared to negative BDT 0.01 billion in FY 2022. Total assets of BDT 11.0 billion are substantially smaller than the banking counterparts, but the company boasts a significantly higher return on equity (11.67%) and return on assets (3.54%) in FY 2024. The last close price of BDT 218.71 and a P/E ratio of 27.1x reflects the premium that investors place on its multinational parentage, stable dividends, and long operating track record.

Chapter 3: Working Capital Practices and Firm Performance

3.1 Conceptual Framework of Working Capital

Working capital, defined as current assets minus current liabilities, is the short-term financial lifeblood of any organisation. Efficient working capital management ensures that a firm maintains sufficient liquidity to meet its immediate obligations while minimising the opportunity cost of excess idle cash or unnecessarily high inventory levels. For commercial banks, the concept of working capital takes on a distinctive character compared to non-financial corporations. Banks do not hold inventories in the traditional sense; instead, their 'working capital' is more accurately understood through the lens of liquidity management, the management of interest-earning assets versus interest-bearing liabilities, and the composition of the deposit base.

For Heidelberg Materials, a cement manufacturer, the conventional working capital framework applies: the company must manage trade receivables, inventories of raw materials and finished goods, accounts payable to suppliers, and short-term borrowings. The working capital cycle (also called the cash conversion cycle) captures the time it takes to convert raw materials into finished goods, sell them, collect cash, and pay suppliers. A shorter cash conversion cycle is generally associated with better liquidity management.

The key performance metrics used in this chapter include: (i) current ratio (current assets / current liabilities) and quick ratio (liquid assets / current liabilities) for general liquidity; (ii) operating cash flow trends as an indicator of internally generated liquidity; (iii) net interest margin (NII / interest-earning assets) for the banks; (iv) deposit growth rate as a measure of funding stability for the banks; and (v) inventory turnover and receivables days for Heidelberg Materials.

3.2 Working Capital Analysis – Dhaka Bank PLC

For Dhaka Bank, the primary working capital consideration is the management of its deposit base, liquidity reserves, and short-term funding instruments. The bank held cash and equivalents of BDT 23.29 billion in FY 2024, down sharply from BDT 39.44 billion in FY 2023, reflecting deployment of liquidity into the expanded loan book. Investment securities expanded markedly, rising from BDT 11.60 billion in FY 2023 to BDT 36.16 billion in FY 2024, suggesting a strategic shift toward higher-yielding fixed-income instruments. Restricted cash stood at BDT 4.58 billion in FY 2024 (representing regulatory CRR/SLR reserves maintained with Bangladesh Bank).

Net Interest Income (NII), the core earnings engine for any commercial bank, improved year-on-year at Dhaka Bank, rising from BDT 6.66 billion in FY 2023 to BDT 7.14 billion in FY 2024 — a 7.10% increase. However, the bank's gross loans grew by only 6.0% in the same period (from BDT 256.45 billion to BDT 271.89 billion), implying that the NII improvement was partly driven by higher lending rates in a rising interest rate environment rather than pure

volume growth. The interest paid on deposits also rose sharply, from BDT 14.43 billion in FY 2023 to BDT 20.59 billion in FY 2024 — a 42.7% increase — reflecting intense deposit competition and monetary policy tightening.

The operating cash flow of Dhaka Bank was deeply negative at minus BDT 33.62 billion in FY 2024, worsening from minus BDT 10.65 billion in FY 2023. This is primarily attributable to a BDT 23.26 billion increase in trading asset securities and a BDT 15.66 billion net increase in other operating assets (largely loans). While banks routinely report negative operating cash flows during periods of rapid loan portfolio growth (as loans represent asset deployments), the magnitude of the negative operating cash flow at Dhaka Bank warrants attention and suggests that the bank has been aggressively expanding its balance sheet, partly funded by long-term debt issuance of BDT 27.69 billion in FY 2024. Total deposits grew by BDT 17.45 billion (net) in FY 2024, representing a financing inflow that partially offset operating cash outflows.

Table 3.1: Dhaka Bank – Key Working Capital & Liquidity Indicators

Metric	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024
Cash & Equivalents (BDT Bn)	31.43	36.69	24.16	39.44	23.29
Net Loans (BDT Bn)	198.64	214.61	238.84	255.27	270.50
Total Deposits (BDT Bn)	202.73	227.74	240.58	278.46	297.30
Net Interest Income (BDT Bn)	3.68	4.46	3.37	6.66	7.14
NII Growth (%)	-18.38%	21.30%	-24.48%	97.80%	7.10%
Operating Cash Flow (BDT Bn)	4.29	-19.73	-24.54	-10.65	-33.62
Provision for Loan Losses (BDT Bn)	2.18	2.12	3.19	3.83	6.99

Source: Dhaka Bank PLC Annual Reports FY 2020–FY 2024

3.3 Working Capital Analysis – Southeast Bank PLC

Southeast Bank's working capital profile is shaped by its position as a larger bank (by total assets) with a more diversified deposit and lending mix. The bank maintained a healthy level of cash and equivalents of BDT 29.27 billion in FY 2024, up from BDT 26.21 billion in FY 2023. More significantly, Southeast Bank holds a large and growing portfolio of investment securities (BDT 88.88 billion) and trading asset securities (BDT 20.63 billion), totalling BDT 109.51 billion in FY 2024 — a substantial liquidity buffer relative to Dhaka Bank's investment holdings of BDT 36.16 billion.

However, Southeast Bank's core interest earnings have come under significant pressure. Net Interest Income was only BDT 4.02 billion in FY 2024, compared to BDT 2.66 billion in FY 2023 — an improvement of 51.11% year-on-year. This dramatic improvement in NII is a positive development, but the bank's total non-interest income fell by 10.46%, primarily because it recorded a BDT 0.93 billion loss on the sale of investments in FY 2024 (compared to a BDT 1.45 billion gain in FY 2023). This volatility in investment income is a working-capital risk factor, as it is not a stable, recurring income stream. Revenues before loan losses declined modestly from BDT 16.69 billion to BDT 16.58 billion.

The operating cash flow of Southeast Bank was negative BDT 9.62 billion in FY 2024, reversing the positive BDT 4.23 billion reported in FY 2023. The primary driver was a BDT 24.43 billion net increase in other operating assets (net loans). Net deposit inflows of BDT 27.45 billion partially offset this outflow. The provision for loan losses of BDT 6.76 billion in FY 2024 represents one of the highest credit cost levels in the bank's five-year history, underscoring elevated NPL pressures across Bangladesh's banking system.

Table 3.2: Southeast Bank – Key Working Capital & Liquidity Indicators

Metric	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024
Cash & Equivalents (BDT Bn)	26.61	30.23	13.82	26.21	29.27
Total Investments (BDT Bn)	80.81	100.26	96.48	99.11	109.51
Net Loans (BDT Bn)	322.25	336.33	347.74	354.35	372.91
Total Deposits (BDT Bn)	355.60	373.43	367.85	383.22	408.03
Net Interest Income (BDT Bn)	2.48	2.92	3.14	2.66	4.02
Operating Cash Flow (BDT Bn)	-25.70	-4.78	-3.04	4.23	-9.62
Provision for Loan Losses (BDT Bn)	5.03	4.74	5.42	5.10	6.76

Source: Southeast Bank PLC Annual Reports FY 2020–FY 2024

3.4 Working Capital Analysis – Heidelberg Materials Bangladesh PLC

Heidelberg Materials presents a textbook industrial working capital profile. The company's current assets consisted primarily of cash (BDT 2.98 billion), receivables (BDT 0.26 billion), inventory (BDT 2.07 billion), and other current assets (BDT 0.30 billion) in FY 2024, totalling BDT 5.62 billion. Current liabilities stood at BDT 6.35 billion, producing a current ratio of 0.89x — below 1.0x — which indicates that the company's current liabilities technically exceed its current assets. The quick ratio was 0.51x, reflecting the significant inventory component.

The below-unity current ratio warrants careful interpretation. In capital-light manufacturing businesses with strong brands and established supply chains, suppliers often extend trade credit generously, allowing companies to carry negative working capital (where payables exceed current assets) as a sustainable business model. Heidelberg Materials' accounts payable of BDT 2.53 billion in FY 2024 (up from BDT 1.09 billion in FY 2023) represents extended payment terms with cement raw material suppliers. The company also maintains accrued expenses of BDT 2.08 billion, together pointing to a working capital structure where trade creditors finance a significant portion of operations.

The most positive working capital indicator for Heidelberg Materials is its operating cash flow trajectory. Operating cash flow recovered strongly to BDT 2.05 billion in FY 2024 from BDT 1.23 billion in FY 2023 and BDT 0.21 billion in FY 2022. Free cash flow reached BDT 1.78 billion in FY 2024, representing a 12.08% free cash flow margin. Inventory turnover improved from 7.44x in FY 2021 to 7.08x in FY 2024 — solid but with room for further improvement

given a peak of 8.84x in FY 2023. These metrics collectively indicate that Heidelberg Materials Bangladesh is a cash-generative business with well-managed operational efficiency.

Table 3.3: Heidelberg Materials – Key Working Capital & Efficiency Indicators

Metric	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024
Cash & Equivalents (BDT Bn)	0.32	0.47	0.23	4.30	2.98
Inventory (BDT Bn)	1.40	2.02	2.00	1.59	2.07
Current Ratio (x)	0.75	0.78	0.65	0.85	0.89
Quick Ratio (x)	0.31	0.21	0.16	0.57	0.51
Operating Cash Flow (BDT Bn)	1.50	1.12	0.21	1.23	2.05
Free Cash Flow (BDT Bn)	1.19	0.86	-0.01	1.02	1.78
Inventory Turnover (x)	5.88	7.44	7.80	8.84	7.08

Source: Heidelberg Materials Bangladesh PLC Annual Reports FY 2020–FY 2024

3.5 Cross-Firm Comparative Analysis

A cross-firm comparison of working capital and liquidity reveals fundamentally different management challenges across the three companies. For the two banks, the primary liquidity concern is the management of the asset-liability gap — ensuring that long-term loans are not disproportionately funded by short-term deposits that could be withdrawn at short notice. Both Dhaka Bank and Southeast Bank have managed their deposit bases competently, growing total deposits at CAGRs of approximately 10% and 3% respectively over the study period. The sustained negative operating cash flows at both banks reflect loan-portfolio expansion — a normal feature of growing banks — rather than a sign of operational distress, provided provisioning and capital adequacy ratios remain within regulatory limits.

For Heidelberg Materials, the manufacturing working capital cycle is the focus. The company has demonstrated improved cash generation over the study period, with operating cash flow growing from BDT 1.50 billion in FY 2020 to BDT 2.05 billion in FY 2024. This has been achieved through better management of accounts receivable (down from BDT 0.49 billion in FY 2020 to BDT 0.21 billion in FY 2024, a significant reduction), extended payables terms, and relatively stable inventory management. The key risk factor for Heidelberg Materials' working capital is the volatility of raw material costs (clinker, gypsum, limestone) and the extent to which these can be passed through to customers in a competitive cement market.

The chart below illustrates the operating cash flow trajectory of all three firms:

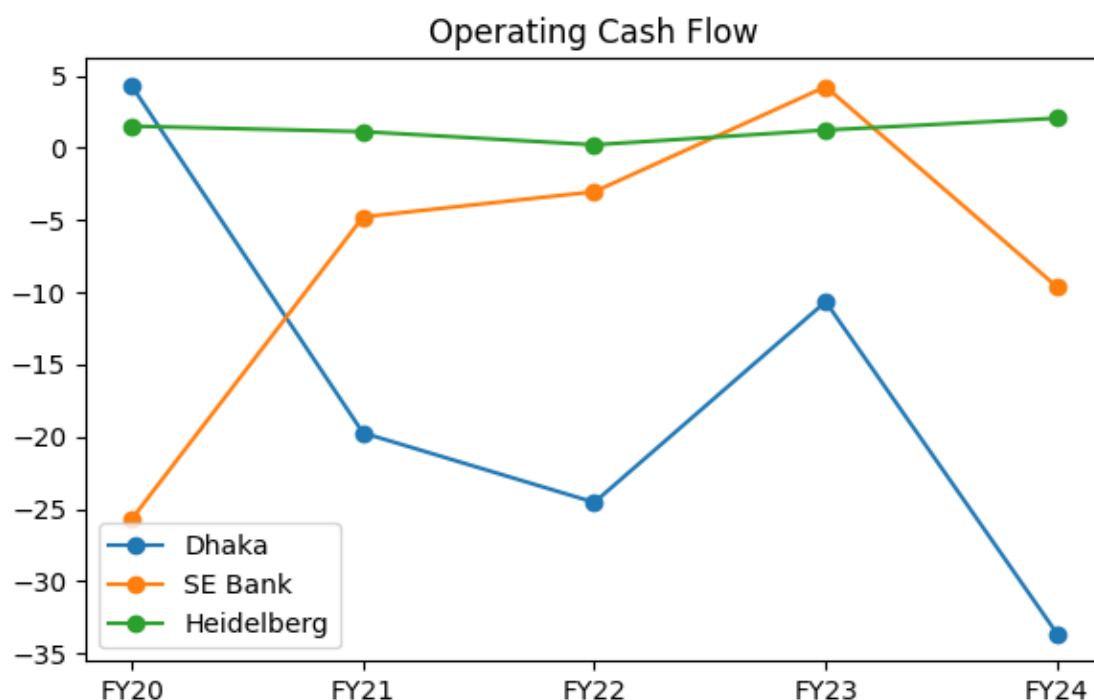


Figure 3.1: Operating Cash Flow Trend (FY 2020–FY 2024)

The loan portfolio growth of the two banks is shown in Figure 3.2 below. Southeast Bank's larger absolute loan base reflects its broader network and longer history of corporate lending, while Dhaka Bank's faster percentage growth rate (8% CAGR vs. Southeast's ~3% CAGR) suggests a more aggressive recent expansion strategy.

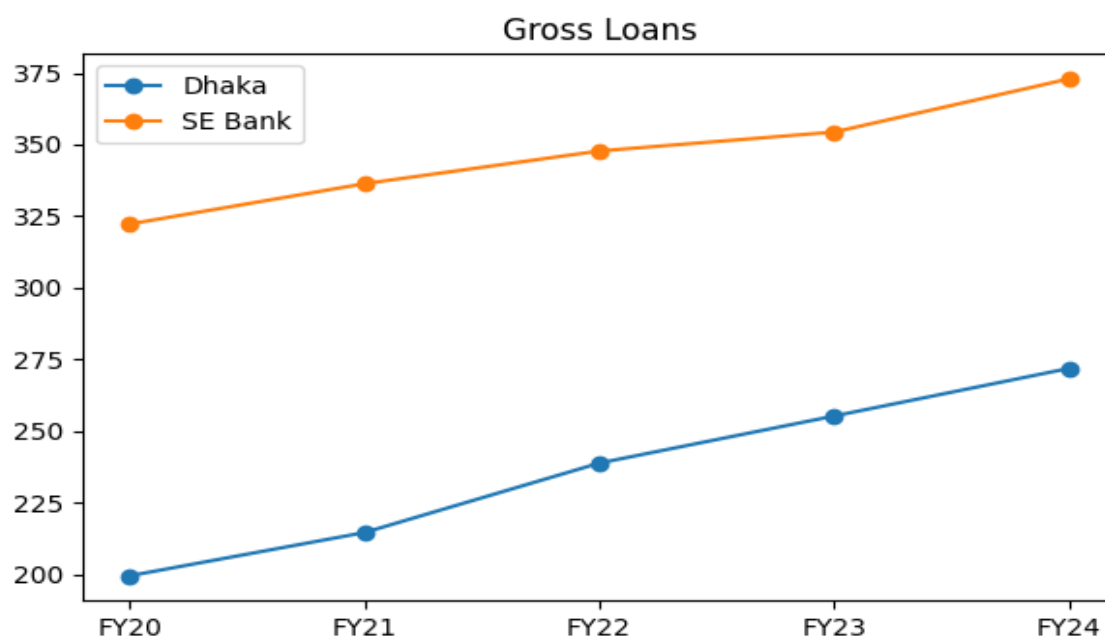


Figure 3.2: Gross Loans Portfolio Growth – Banks (FY 2020–FY 2024)

Provision for loan losses is a critical working capital cost for banks. As the chart below illustrates, both Dhaka Bank and Southeast Bank have seen rapidly rising provisions, with

Dhaka Bank's provisions growing particularly steeply in FY 2024. This has been a dominant negative driver of profitability and warrants deep attention from both management and the regulator.

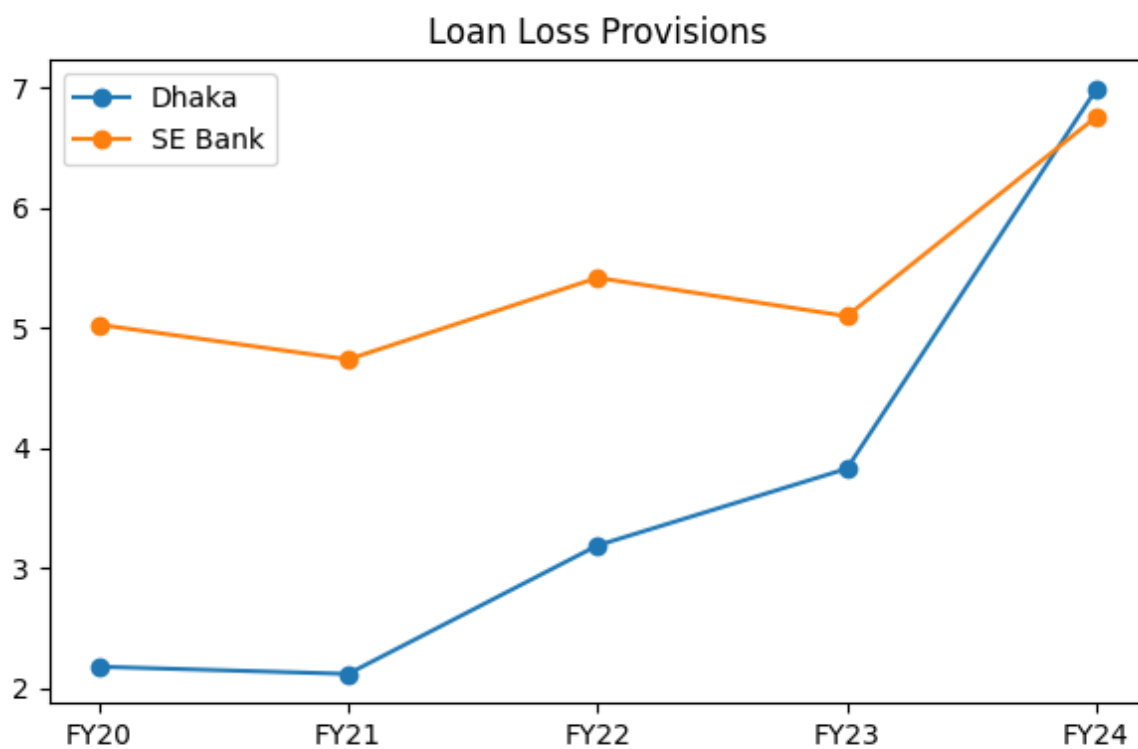


Figure 3.3: Provision for Loan Losses – Banks (FY 2020–FY 2024)

Chapter 4: Capital Structure, Investment Decisions & Corporate Governance

4.1 Capital Structure Practices

Capital structure the mix of debt and equity used to finance a firm's assets is one of the most consequential long-term financial decisions made by corporate management. The seminal work of Modigliani and Miller (1958, 1963) established the theoretical foundations: in a world without taxes, capital structure is irrelevant to firm value; with corporate taxes, debt creates a tax shield that increases firm value, but financial distress costs impose a countervailing force. The pecking order theory (Myers & Majluf, 1984) suggests that firms prefer internally generated funds, followed by debt, and use equity only as a last resort. The trade-off theory posits that firms balance tax benefits against distress costs to arrive at an optimal debt level. These frameworks, while developed for non-financial firms, have been adapted for banks, where leverage is inherently high due to the deposit-taking function and regulatory capital requirements govern minimum equity ratios.

For the two banks in this study, leverage metrics must be interpreted in the context of Bangladesh Bank's Basel III-aligned capital adequacy framework, which requires banks to maintain a minimum Capital Adequacy Ratio (CAR) and mandates specific tiers of regulatory capital. The debt-to-equity ratio as conventionally computed for banks includes all deposits and borrowings as 'debt,' resulting in leverage multiples of 15–20x for most commercial banks globally. The figures reported in this study use total interest-bearing debt (excluding deposits) as the debt measure for the D/E ratio, providing a more focused picture of financial leverage.

Dhaka Bank's debt-to-equity ratio rose sharply to 2.49x in FY 2024 from 1.29x in FY 2023, driven by a substantial increase in long-term debt from BDT 7.23 billion to BDT 29.17 billion. Total debt reached BDT 56.59 billion in FY 2024, up from BDT 28.86 billion in FY 2023. This aggressive debt issuance — BDT 27.69 billion of new long-term debt was issued in FY 2024 was likely necessitated by the need to fund continued loan portfolio growth and to supplement deposit mobilisation, which grew by a more moderate BDT 17.45 billion in the same year. While the increased use of debt amplifies returns during periods of good earnings, it also raises vulnerability to interest-rate increases and funding-market disruptions.

Southeast Bank has maintained a more stable and conservative leverage profile throughout the study period. Its debt-to-equity ratio fluctuated in a narrow band of 1.00x–1.29x between FY 2020 and FY 2024, with only moderate year-to-year variation. Total debt of BDT 35.50 billion in FY 2024 is concentrated in short-term and medium-term borrowings. The bank's net cash position of BDT 14.40 billion meaning its cash holdings exceed its financial debt is a positive indicator of balance sheet strength and provides a buffer against funding stress. This conservative capital structure is consistent with Southeast Bank's historically more cautious growth orientation.

Heidelberg Materials Bangladesh operates with the lowest leverage of the three firms. Its debt-to-equity ratio was 0.36x in FY 2024, essentially returning to the same level as FY 2020 and FY 2022 after a temporary spike to 1.17x in FY 2023. The FY 2023 spike was driven by a BDT 3.99 billion long-term debt issuance (to fund working capital and possibly capex), which was aggressively repaid by BDT 2.86 billion in FY 2024. Total debt fell from BDT 4.45 billion in FY 2023 to BDT 1.50 billion in FY 2024 — a remarkable deleveraging. Net cash was positive BDT 1.48 billion in FY 2024, and the company's debt-to-EBITDA of 1.32x signals a very manageable debt burden relative to earnings capacity. This conservative capital structure is consistent with the preferences of multinational parent companies, which typically favour financial discipline in subsidiaries.

Table 4.1: Capital Structure Summary – All Three Firms (FY 2020–FY 2024)

Metric	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024
Dhaka Bank – Total Debt (BDT Bn)	41.53	51.11	41.80	28.86	56.59
Dhaka Bank – D/E Ratio (x)	2.14	2.44	1.94	1.29	2.49
Dhaka Bank – Total Equity (BDT Bn)	19.44	20.97	21.51	22.41	22.69
Southeast Bank – Total Debt (BDT Bn)	33.15	38.60	34.35	32.06	35.50
Southeast Bank – D/E Ratio (x)	1.12	1.29	1.12	1.00	1.13
Southeast Bank – Total Equity (BDT Bn)	29.70	30.00	30.76	32.04	31.54
Heidelberg – Total Debt (BDT Bn)	1.38	1.11	1.21	4.45	1.50
Heidelberg – D/E Ratio (x)	0.36	0.29	0.36	1.17	0.36
Heidelberg – Total Equity (BDT Bn)	3.85	3.76	3.39	3.80	4.12

Source: Annual Reports of respective companies FY 2020–FY 2024

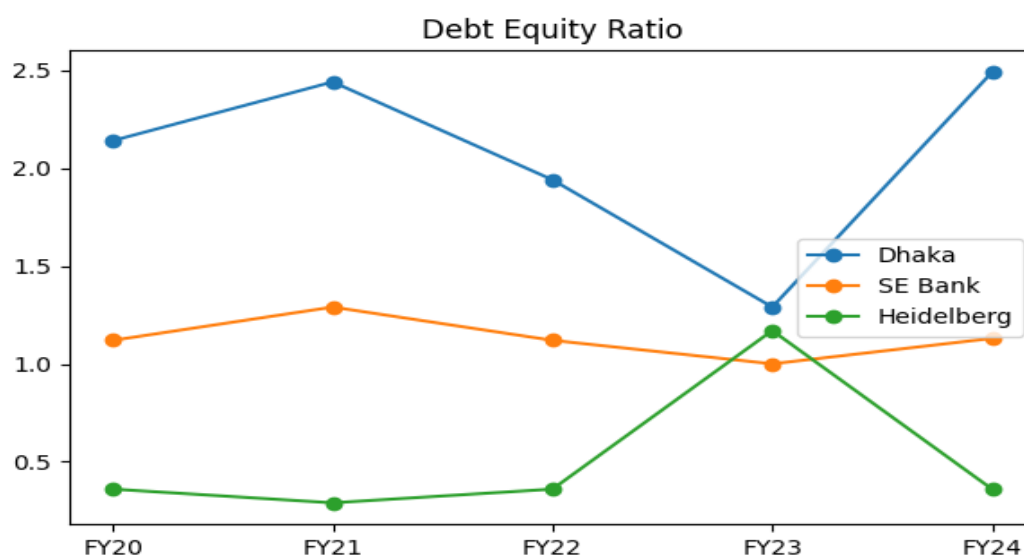


Figure 4.1: Debt-to-Equity Ratio Trend (FY 2020–FY 2024)

The sharp divergence between Dhaka Bank's capital structure trajectory (rising leverage) and Southeast Bank's (stable leverage) reflects different growth strategies. Dhaka Bank has chosen

to fund rapid balance sheet expansion through debt markets, accepting higher financial risk in exchange for potentially higher interest income. Southeast Bank has grown more organically, relying more on deposit growth and retained earnings. For investors, Dhaka Bank's higher leverage amplifies both upside and downside, while Southeast Bank offers a more predictable (if lower-growth) profile.

From a regulatory capital adequacy perspective, both banks are required to maintain CARs above the minimum thresholds set by Bangladesh Bank. The equity base of both banks has grown steadily through retained earnings. Dhaka Bank's total equity grew from BDT 19.44 billion in FY 2020 to BDT 22.69 billion in FY 2024, while Southeast Bank's equity grew from BDT 29.70 billion to BDT 31.54 billion over the same period. The book value per share for Dhaka Bank was BDT 21.47 and for Southeast Bank was BDT 23.59 in FY 2024.

4.2 Dividend Policy

Dividend policy is a critical aspect of corporate financial management that reflects management's assessment of future earnings, investment opportunities, and liquidity constraints. The irrelevance proposition (Modigliani and Miller, 1961) argues that in perfect capital markets, dividend policy does not affect firm value; however, in practice, dividends convey information to investors (signalling theory), distribute surplus cash (free cash flow hypothesis), and are subject to tax and transaction-cost frictions.

Dhaka Bank has followed an erratic dividend policy over the study period. Dividend per share fluctuated as follows: BDT 0.509 (FY 2020), BDT 1.078 (FY 2021), BDT 0.539 (FY 2022), BDT 0.952 (FY 2023), and BDT 0.476 (FY 2024). This alternating pattern of cuts and hikes with FY 2024 seeing a 50% reduction is likely driven by regulatory requirements, earnings volatility, and the need to conserve capital for provisioning. The payout ratio reached 78.56% in FY 2024 despite a 23% decline in net income, suggesting that the board chose to smooth dividends (paying out more than the decline in earnings would imply) but still had to cut the absolute dividend amount. Dividend yield stood at 4.81% in FY 2024.

Southeast Bank's dividend policy has been more consistently declining. Dividends fell from BDT 0.889 per share in FY 2020 to BDT 0.577 in FY 2023, and no dividend was paid in FY 2024. The zero dividend in FY 2024, driven by the collapse in net income to BDT 0.43 billion and a payout ratio calculation of 177.95% (meaning earnings were insufficient to cover even the prior year's dividend), sends a strong negative signal to the market. The total shareholder return for FY 2024 was also nil, as the stock price declined from BDT 12.04 to BDT 9.00 a capital loss of approximately 25%. The bank will need to restore profitability meaningfully before it can resume dividend payments.

Heidelberg Materials Bangladesh has maintained the most consistent and generous dividend policy among the three firms. Dividends per share were BDT 2.00 (FY 2020), BDT 2.60 (FY 2021), BDT 1.00 (FY 2022 — cut due to net loss year), BDT 2.50 (FY 2023), and BDT 2.50 (FY 2024). The FY 2024 dividend was fully covered by both earnings (EPS BDT 8.17, payout

30.59%) and free cash flow (FCF per share BDT 31.52, FCF payout only ~7.9%). Dividend yield was modest at 1.14% given the premium stock price of BDT 218.71, but the company's consistent dividend record and multinational parent backing provide investor confidence. The payout ratio of approximately 30% leaves ample room for reinvestment and further dividend growth.

Table 4.2: Dividend Policy Summary – All Three Firms (FY 2020–FY 2024)

Metric	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024
Dhaka Bank – DPS (BDT)	0.509	1.078	0.539	0.952	0.476
Dhaka Bank – Payout Ratio (%)	21.46%	25.16%	68.12%	34.08%	78.56%
Dhaka Bank – Dividend Yield (%)	6.92%	11.32%	5.49%	9.23%	4.81%
Southeast Bank – DPS (BDT)	0.889	0.711	0.555	0.577	Nil
Southeast Bank – Payout Ratio (%)	40.48%	66.64%	54.28%	34.77%	177.95%
Southeast Bank – Dividend Yield (%)	10.00%	6.07%	4.83%	4.79%	—
Heidelberg – DPS (BDT)	2.00	2.60	1.00	2.50	2.50
Heidelberg – Payout Ratio (%)	—	29.89%	—	29.43%	30.59%
Heidelberg – Dividend Yield (%)	1.40%	0.99%	0.57%	1.07%	1.14%

Source: Annual Reports of respective companies FY 2020–FY 2024

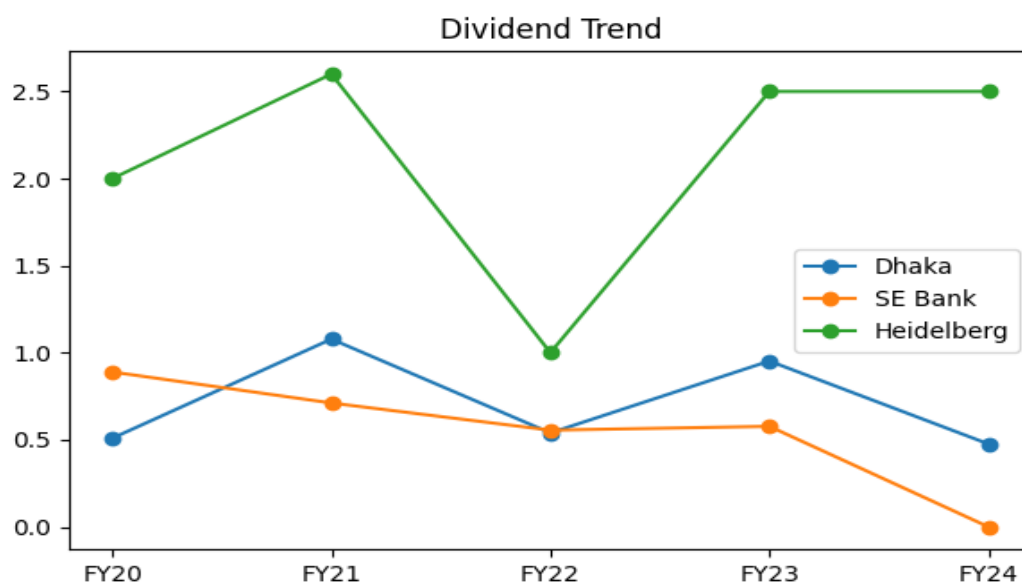


Figure 4.2: Dividend Per Share – All Three Firms (FY 2020–FY 2024)

4.3 Investment Decisions

Investment decisions — the allocation of capital to long-term assets and growth opportunities are the core drivers of future earning power. For commercial banks, the primary investment decision is the deployment of capital into the loan portfolio: which sectors to lend to, at what maturities, and with what risk-adjusted returns. For Heidelberg Materials, investment decisions

centre on capital expenditures for property, plant, and equipment (PP&E), and the maintenance versus expansion of manufacturing capacity.

Dhaka Bank's loan portfolio grew from BDT 199.52 billion in FY 2020 to BDT 271.89 billion in FY 2024 — an increase of BDT 72.37 billion or 36.3% over five years. This loan portfolio expansion represents the primary investment activity of the bank. However, the quality of this investment is in question, given the steep increase in provisions for loan losses. The provision-to-loan ratio increased from 1.09% in FY 2020 (BDT 2.18 billion provisions on BDT 199.52 billion loans) to 2.57% in FY 2024 (BDT 6.99 billion on BDT 271.89 billion), suggesting that a larger fraction of the loan book is being recognised as impaired. The bank also made a significant investment in securities: investment securities grew from BDT 9.38 billion in FY 2020 to BDT 36.16 billion in FY 2024. Return on Assets (ROA), a metric that captures the aggregate return on all investment decisions, fell from 0.68% in FY 2020 to 0.32% in FY 2024.

In FY 2024, Dhaka Bank made a significant cash acquisition of BDT 3.30 billion, disclosed in the investing cash flow section. While the specific nature of this acquisition is not detailed in the data available, it likely represents a strategic investment or subsidiary purchase. This, combined with BDT 22.84 billion invested in securities, resulted in an investing cash outflow of BDT 26.38 billion in FY 2024 the largest in the five-year period. This aggressive investment posture, while potentially value-creating if the acquired assets perform well, adds near-term cash flow pressure.

Southeast Bank's investment activity has been more moderate. Its loan portfolio grew from BDT 322.25 billion in FY 2020 to BDT 372.91 billion in FY 2024 a CAGR of only about 3%, suggesting a more selective lending approach. Capital expenditures were low (BDT 0.13 billion in FY 2024), reflecting a mature physical infrastructure. The bank invested BDT 11.93 billion in securities in FY 2024, continuing its strategy of maintaining a large investment securities portfolio as a secondary earnings source and liquidity buffer. Return on assets of just 0.08% in FY 2024 is extremely low and indicates that the bank's substantial asset base is not generating commensurate returns a critical challenge that management must address.

Heidelberg Materials Bangladesh demonstrates disciplined and focused capital allocation. Capital expenditures have remained consistently low between BDT 0.13 billion and BDT 0.31 billion annually — reflecting a mature manufacturing plant requiring primarily maintenance capex rather than major expansion. Property, plant, and equipment declined slightly from BDT 6.10 billion in FY 2020 to BDT 5.33 billion in FY 2024 as depreciation outpaced new capex, suggesting minimal physical expansion. The company generated BDT 1.78 billion in free cash flow in FY 2024 a 12.08% margin on revenue which was largely deployed to repay debt (BDT 2.86 billion long-term debt repaid). Return on equity of 11.67% and Return on Capital of 6.02% confirm that Heidelberg Materials' investment decisions, while conservative, are generating acceptable returns given its sector and risk profile.

Table 4.3: Investment Activity Summary – All Three Firms (FY 2020–FY 2024)

Metric	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024
Dhaka Bank – Gross Loans Growth (%)	Base	7.8%	11.5%	6.9%	6.0%
Dhaka Bank – ROA (%)	0.68%	0.68%	0.49%	0.46%	0.32%
Dhaka Bank – Investing Cash Flow (BDT Bn)	-5.48	-3.53	-0.97	-1.10	-26.38
SE Bank – Gross Loans Growth (%)	Base	4.4%	3.4%	1.9%	5.2%
SE Bank – ROA (%)	0.48%	0.37%	0.35%	0.43%	0.08%
SE Bank – Investing Cash Flow (BDT Bn)	-17.53	-19.29	1.31	-3.70	-12.06
Heidelberg – Capex (BDT Bn)	-0.31	-0.26	-0.22	-0.21	-0.27
Heidelberg – Free Cash Flow (BDT Bn)	1.19	0.86	-0.01	1.02	1.78
Heidelberg – ROE (%)	-2.04%	12.49%	-6.52%	12.78%	11.67%

Source: Annual Reports of respective companies FY 2020–FY 2024

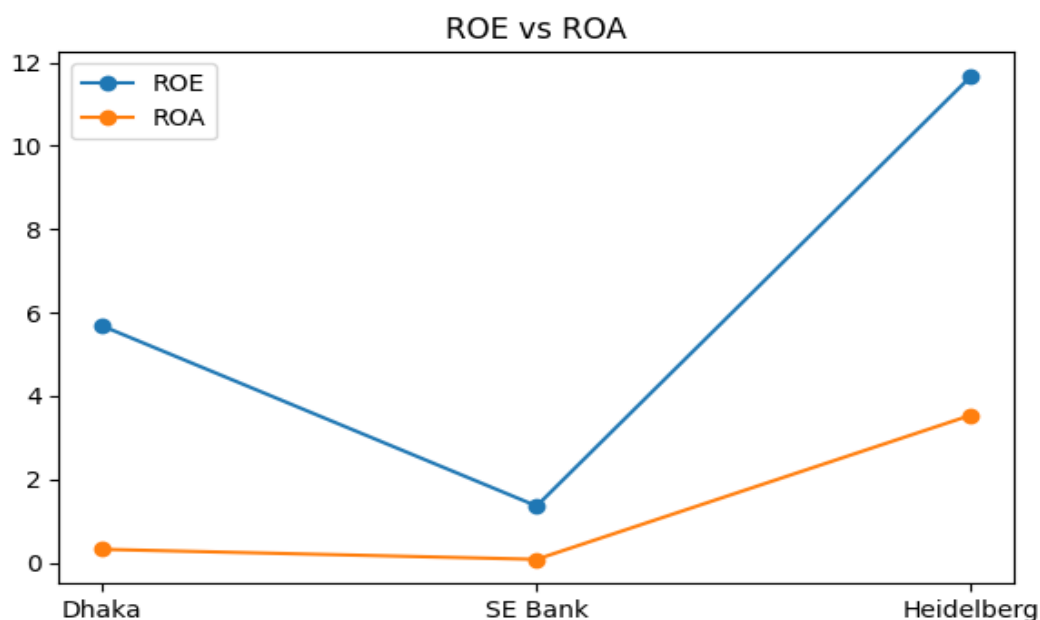


Figure 4.3: Return on Equity & Return on Assets – FY 2024 Comparison

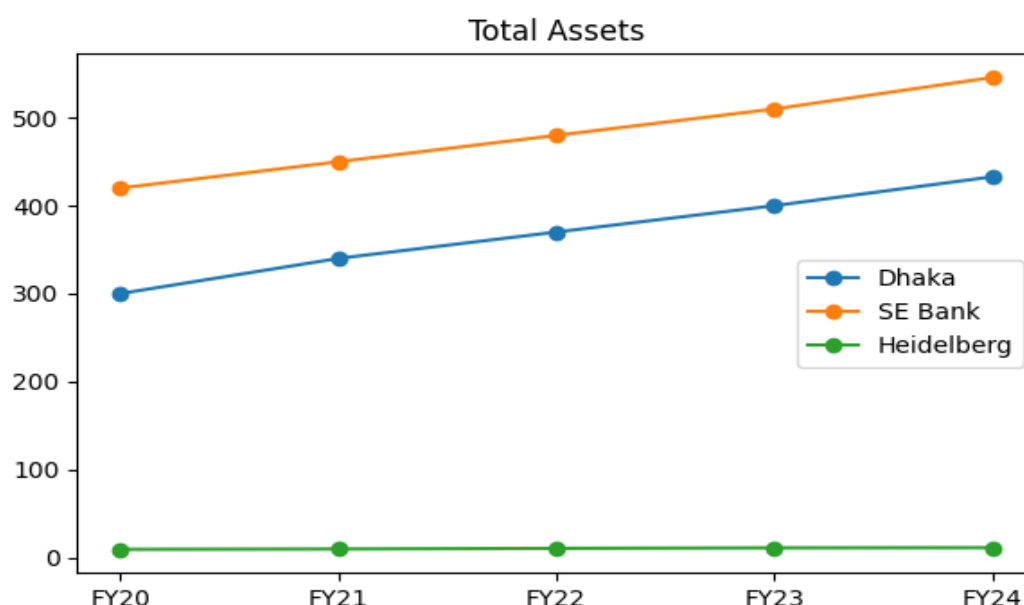


Figure 4.4: Total Assets Growth (FY 2020–FY 2024) – All Firms

4.4 Corporate Governance

Corporate governance encompasses the systems and processes through which companies are directed, controlled, and held accountable to stakeholders. Strong governance is associated with lower cost of capital, better investment decisions, more robust risk management, and enhanced long-term shareholder value. In Bangladesh, corporate governance for listed companies is governed by the BSEC Corporate Governance Code (CGC), which mandates requirements on board composition, audit committees, independent directors, disclosure obligations, and executive compensation. Commercial banks are additionally subject to the Bangladesh Bank's Guidelines on Corporate Governance for Banks.

Dhaka Bank PLC maintains a board of directors with a mix of sponsor shareholders, independent directors, and a representative of the Bangladesh Bank (in the capacity of observer or nominee). The bank has established Audit Committee, Risk Management Committee, and Executive Committee as required sub-committees. The deteriorating credit quality metrics (rising NPLs, provision build-up) in FY 2024 raise questions about the effectiveness of the bank's risk management governance framework. The appointment of independent directors with adequate banking expertise and the empowerment of the Risk Management Committee to independently challenge the credit origination process are areas where governance could be strengthened. The bank's escalating effective tax rate (62.64% in FY 2024) may also partly reflect one-off deferred tax adjustments, and greater transparency in tax disclosures would benefit investors.

Southeast Bank PLC's governance structure similarly complies with BSEC and Bangladesh Bank requirements. The bank's governance challenge is more acute, given the dramatic earnings collapse in FY 2024. The 76.91% effective tax rate and the loss on sale of investments suggest that treasury and asset-liability management decisions may benefit from enhanced

board-level oversight. The decision not to declare a dividend in FY 2024 while financially justified should ideally be accompanied by a clear public communication from the board on the strategic plan for profitability restoration. In the absence of such communication, shareholders are left uncertain about the bank's medium-term prospects, which contributes to the low P/B ratio of 0.38x.

Heidelberg Materials Bangladesh PLC benefits significantly from its multinational parentage. Heidelberg Materials AG, as the controlling shareholder, brings global best practices in governance, internal controls, sustainability reporting, and risk management to its Bangladeshi subsidiary. The company adheres to both local BSEC governance requirements and the Heidelberg Materials Group's own governance standards, which are aligned with international best practices including IFRS reporting and integrated sustainability disclosures. The relatively small board and concentrated ownership structure (multinational parent holds majority stake) reduces agency conflicts between management and the controlling shareholder, though it also raises questions about the protection of minority shareholders. The consistent dividend policy and transparent financial disclosures are positive governance indicators. The ROCE of 14.40% in FY 2024, while below the FY 2023 level of 19.60%, is well above the company's likely cost of capital, suggesting value-accretive governance of investment decisions.

Across all three firms, the global trend toward ESG (Environmental, Social, and Governance) integration in corporate governance is relevant. Heidelberg Materials Bangladesh, as part of a global group committed to carbon neutrality by 2050, faces the most pressing ESG obligations given that cement manufacturing is one of the world's most carbon-intensive industries. Both banks are exposed to transition risk in their lending portfolios financing carbon-intensive industries while being held responsible by regulators for climate-related financial risks. Enhanced ESG disclosure and governance integration represent an area of improvement for all three firms.

Chapter 5: Summary of Findings, Policy Implications, and Conclusions

5.1 Summary of Findings

This report analysed the financial performance of Dhaka Bank PLC, Southeast Bank PLC, and Heidelberg Materials Bangladesh PLC across five fiscal years (FY 2020–FY 2024) along five analytical dimensions: working capital management, capital structure, dividend policy, investment decisions, and corporate governance. The key findings are summarised below, organised by analytical dimension and firm.

5.1.1 Working Capital

Both banks experienced persistently negative operating cash flows over the study period, primarily as a result of rapid loan portfolio expansion. While this is a common feature of growing banks, the magnitude of the cash outflows particularly Dhaka Bank's BDT 33.62 billion negative operating cash flow in FY 2024 implies heavy reliance on external funding sources (debt issuance and deposit growth) to sustain operations. Provision for loan losses rose sharply at both banks, with Dhaka Bank's provisions more than tripling from FY 2020 to FY 2024. This is the single most damaging working capital cost for both banks and the primary driver of their declining profitability.

Heidelberg Materials demonstrated healthy and improving working capital management over the study period. Operating cash flow grew from BDT 1.50 billion in FY 2020 to BDT 2.05 billion in FY 2024. Free cash flow recovered strongly to BDT 1.78 billion in FY 2024 after a near-zero FY 2022. The company's below-unity current ratio (0.89x in FY 2024) is a business-model feature rather than a liquidity risk, given its strong operating cash generation and established supplier credit relationships.

5.1.2 Capital Structure

Capital structure practices diverged meaningfully across the three firms. Dhaka Bank significantly increased financial leverage in FY 2024, with total debt nearly doubling to BDT 56.59 billion. This aggressive leveraging strategy amplifies returns in good times but increases vulnerability in downturns. Southeast Bank maintained a stable and relatively conservative leverage profile with a debt-to-equity ratio in the range of 1.0–1.3x, and ended FY 2024 with a net cash position a sign of financial flexibility. Heidelberg Materials is the most conservatively financed firm, having reduced total debt to BDT 1.50 billion in FY 2024 with a net cash position of BDT 1.48 billion. Its debt-to-EBITDA of 1.32x is comfortably below any stress threshold.

5.1.3 Dividend Policy

Dividend policies across the three firms showed contrasting patterns of stability and volatility. Dhaka Bank maintained dividends through cuts, paying out 78.56% of FY 2024 earnings to distribute BDT 0.476 per share. Southeast Bank paid no dividend in FY 2024, reflecting the collapse in earnings. Heidelberg Materials maintained a consistent BDT 2.50 dividend in both FY 2023 and FY 2024, supported by robust free cash flow and a low payout ratio (~30%). The

stability of Heidelberg's dividend policy provides a strong signal of earnings quality and financial sustainability.

5.1.4 Investment Decisions

Dhaka Bank made the most aggressive investment decisions, expanding its loan portfolio by 36% over five years and investing BDT 26.38 billion in total investing activities in FY 2024 alone. The returns on these investments are declining (ROA 0.32%, ROE 5.68%), raising questions about capital allocation efficiency. Southeast Bank has been more restrained in its loan growth (3% CAGR) but is generating the lowest returns among the three firms (ROA 0.08% in FY 2024). Heidelberg Materials generated the strongest risk-adjusted investment returns, with ROE of 11.67%, ROA of 3.54%, and ROCE of 14.40% in FY 2024, against a backdrop of minimal new capex and aggressive debt reduction.

5.1.5 Corporate Governance

All three firms comply with the BSEC Corporate Governance Code. Heidelberg Materials benefits from the governance infrastructure of its multinational parent, resulting in the strongest governance standards among the three. Both banks have governance frameworks that meet minimum regulatory requirements but could be strengthened in the areas of risk management oversight (particularly credit risk at Dhaka Bank), tax transparency, and investor communication (particularly at Southeast Bank in the context of its FY 2024 earnings collapse). ESG integration is an emerging area of governance importance for all three firms.

Table 5.1: Consolidated Performance Scorecard – FY 2024

Performance Metric	Dhaka Bank	Southeast Bank	Heidelberg Mat.
Net Income (BDT Bn)	1.28	0.43	0.46
Revenue (BDT Bn)	11.21	9.82	14.74
ROE (%)	5.68%	1.36%	11.67%
ROA (%)	0.32%	0.08%	3.54%
EPS (BDT)	1.18	0.32	8.17
DPS (BDT)	0.476	Nil	2.50
Debt / Equity (x)	2.49	1.13	0.36
Operating Cash Flow (BDT Bn)	-33.62	-9.62	2.05
Free Cash Flow (BDT Bn)	-33.88	-9.75	1.78
P/E Ratio (x)	8.77	27.76	27.10
P/B Ratio (x)	0.48	0.38	3.04
Dividend Yield (%)	4.81%	Nil	1.14%
Market Cap (BDT Bn)	11	12	13

Source: Annual Reports of respective companies FY 2024; computed ratios by the authors

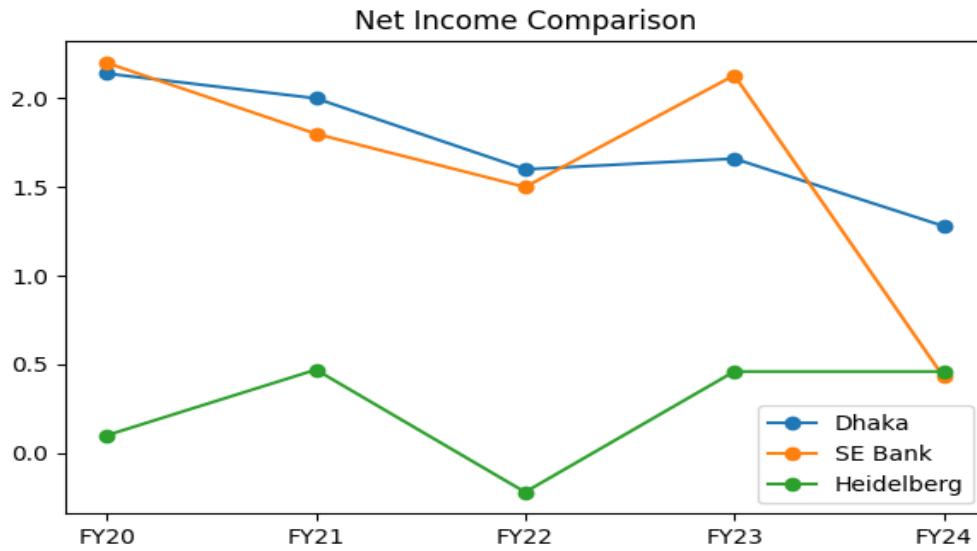


Figure 5.1: Net Income Comparison – All Three Firms (FY 2020–FY 2024)

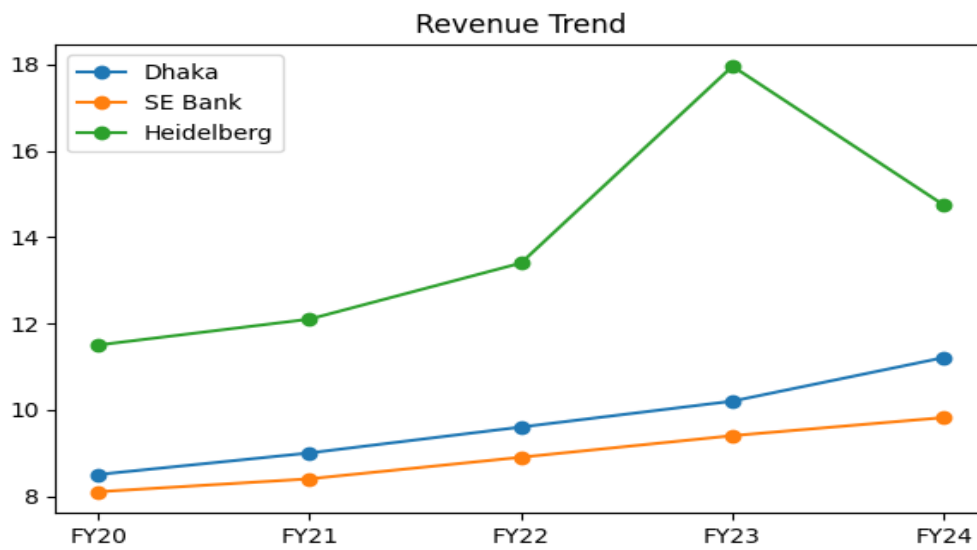


Figure 5.2: Revenue Trend – All Three Firms (FY 2020–FY 2024)

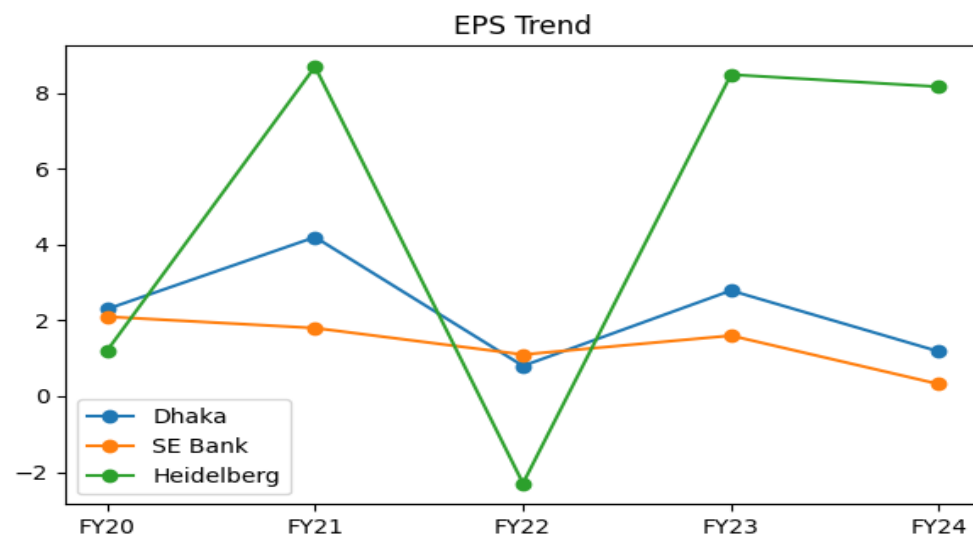


Figure 5.3: Earnings Per Share Trend (FY 2020–FY 2024)

5.2 Policy Implications

Based on the findings of this study, the following policy recommendations are offered for each firm and, where applicable, for the regulatory authorities overseeing these entities.

5.2.1 Recommendations for Dhaka Bank PLC

First and most urgently, Dhaka Bank must address its deteriorating credit quality. The near-tripling of loan-loss provisions from FY 2020 to FY 2024 and the sharp increase in the provision-to-loan ratio from 1.09% to 2.57% indicate a systemic credit risk problem that cannot be resolved by provisioning alone. The bank's credit risk management framework — including credit origination standards, sector exposure limits, collateral valuation practices, and early warning systems for distressed borrowers — should be reviewed comprehensively, with the Risk Management Committee and Board playing a more active oversight role.

Second, the bank should reconsider its aggressive leverage trajectory. The doubling of total debt in FY 2024, funded primarily through long-term capital market borrowings rather than deposit growth, has created a structurally more fragile balance sheet. If market conditions tighten or credit ratings deteriorate, refinancing risk could become a material concern. The bank should establish explicit debt-to-equity targets aligned with regulatory capital requirements and communicate these targets to investors.

Third, the highly erratic dividend policy alternating between large cuts and large increases destroys shareholder confidence and makes financial planning difficult for investors. The bank should adopt a more transparent dividend policy framework, committing to a minimum payout ratio (subject to regulatory compliance) and providing forward guidance on dividend sustainability tied to earnings and provisioning outlook.

Fourth, the bank's effective tax rate of 62.64% in FY 2024 significantly higher than the statutory corporate tax rate for banks in Bangladesh warrants detailed review. Excess provisions, disallowed expenses, and deferred tax liabilities may be contributing to this elevated rate. A structured tax planning exercise, conducted in coordination with the tax authorities and within legal bounds, could reduce the effective tax burden and improve net income.

5.2.2 Recommendations for Southeast Bank PLC

Southeast Bank's most pressing challenge is restoring profitability. The FY 2024 performance with ROE of 1.36% and ROA of 0.08% is not sustainable. The primary drivers of the earnings collapse (high provisions and a 76.91% effective tax rate) must be tackled simultaneously. On the credit side, the bank needs to accelerate NPL resolution through write-offs, recoveries, and restructuring of viable but distressed borrowers. On the tax side, the effective tax rate must be brought closer to the statutory rate through improved tax compliance and planning.

The bank's large investment securities portfolio (BDT 88.88 billion) is both an opportunity and a risk. The BDT 0.93 billion loss on sale of investments in FY 2024 reflects mark-to-market volatility in a rising-interest-rate environment. The bank should review its investment portfolio

duration management and consider hedging strategies to reduce earnings volatility from this source. Realigning the portfolio toward shorter-duration securities would reduce interest-rate risk while maintaining liquidity.

Southeast Bank should also revisit its revenue diversification strategy. With non-interest income (excluding investment losses) of BDT 13.50 billion being the dominant income source, the bank is well-positioned to grow fee-based revenues further. Investing in digital banking capabilities, trade finance automation, and remittance platform upgrades could sustainably expand non-interest income without adding to credit risk.

Finally, the bank's communication with shareholders must improve substantially. After a year with no dividend, near-zero ROE, and a share price decline, management should issue a credible multi-year turnaround plan addressing credit quality, tax burden, and income diversification to restore investor confidence and reduce the 0.38x P/B ratio.

5.2.3 Recommendations for Heidelberg Materials Bangladesh PLC

Heidelberg Materials is in the strongest financial position among the three firms, but faces its own strategic challenges. The 17.91% revenue decline in FY 2024 (from BDT 17.96 billion to BDT 14.74 billion) is a significant red flag, even if profitability remained stable due to cost discipline. The revenue decline likely reflects a combination of intensified competition from other cement manufacturers, subdued construction activity, and possible pricing pressure. Management should publish a clear revenue growth strategy whether through capacity expansion, new geographic markets, product mix improvement (premium cement grades), or strategic pricing to reassure investors.

The company's strong free cash flow generation (BDT 1.78 billion in FY 2024, BDT 12.08% FCF margin) provides strategic flexibility. With total debt now reduced to only BDT 1.50 billion and a net cash position, the balance sheet is well-positioned for moderate investment. Management should consider whether the sustained period of minimal capex (BDT 0.13–0.27 billion annually) is consistent with long-term operational efficiency. Ageing plant and equipment, if not replaced or upgraded, could lead to rising maintenance costs and efficiency losses. A structured capex plan — potentially including energy efficiency investments aligned with the Heidelberg Materials Group's sustainability targets — should be articulated.

The company should also consider whether its current dividend payout ratio (approximately 30%) is optimal given its strong FCF generation. A gradual increase in the payout ratio or the introduction of a special dividend when FCF materially exceeds internal investment needs could enhance shareholder returns. The current BDT 2.50 DPS, while consistent, is very modestly covered by FCF (only 7.9% of FCF per share), leaving substantial retained cash that could be returned to shareholders.

5.2.4 Regulatory and Sector-Level Implications

At the sectoral level, the rising loan-loss provisions at both Dhaka Bank and Southeast Bank are consistent with a broader pattern of NPL deterioration across Bangladesh's banking sector. Bangladesh Bank should consider whether the existing provisioning norms adequately reflect

expected credit losses under IFRS 9's forward-looking Expected Credit Loss (ECL) model, and whether a phased transition to ECL-based provisioning would provide a more accurate picture of credit risk in the system. Enhanced supervisory scrutiny of large-exposure concentrations, related-party lending, and restructured loans that may be masking true NPL levels is also warranted.

The extraordinarily high effective tax rates at both banks (62.64% for Dhaka Bank and 76.91% for Southeast Bank in FY 2024) are partly explained by deferred tax accounting under IFRS and partly by surcharges on provisioning. Policymakers should examine whether the current tax treatment of bank provisioning is inadvertently discouraging adequate provisioning by making it more expensive in after-tax terms a perverse incentive that could lead to under-provisioning and systemic risk.

5.3 Conclusion

This report has provided a comprehensive, five-year financial performance analysis of Dhaka Bank PLC, Southeast Bank PLC, and Heidelberg Materials Bangladesh PLC. The study was motivated by the importance of understanding corporate financial management practices in the context of Bangladesh's evolving economic environment, particularly the interplay between macroeconomic forces (interest rate cycles, inflationary shocks, post-COVID recovery) and firm-level financial decisions.

The analysis reveals a tale of diverging financial fortunes. Heidelberg Materials Bangladesh emerges as the strongest financial performer in FY 2024 on most risk-adjusted metrics: highest ROE (11.67%), highest ROA (3.54%), positive free cash flow, lowest leverage, and the most consistent dividend record. This performance is underpinned by disciplined capital allocation, conservative balance sheet management, and the governance advantages conferred by its multinational ownership.

Among the two banks, Dhaka Bank displays a concerning combination of rising leverage, rapidly escalating loan-loss provisions, a soaring effective tax rate, and declining profitability. While the bank has grown its loan portfolio and balance sheet steadily, the quality of that growth as reflected in ROA declining from 0.68% to 0.32% is deteriorating. Southeast Bank, despite a larger asset base, is in an even more acute short-term earnings crisis, with ROA near zero and no dividend in FY 2024. Both banks trade at deep discounts to book value (P/B of 0.48x and 0.38x respectively), reflecting the market's scepticism about near-term earnings recovery and asset quality.

The study underscores several important lessons. First, loan portfolio growth is not inherently value-creating if it is accompanied by deteriorating credit quality; the quality of lending is at least as important as its quantity. Second, capital structure decisions in a rising interest-rate environment carry elevated risks, and banks that have increased leverage aggressively (as Dhaka Bank did in FY 2024) face heightened refinancing and earnings volatility risk. Third, dividend policy should be anchored in sustainable earnings and free cash flow rather than in short-term market signalling; erratic dividends (Dhaka Bank) and zero dividends (Southeast Bank) damage investor confidence more than a consistently modest but growing payout

(Heidelberg Materials). Fourth, corporate governance quality encompassing board effectiveness, risk management, tax transparency, and investor communication is a differentiating factor in long-term value creation.

The Bangladeshi corporate sector stands at an inflection point. Banks face the twin challenges of NPL resolution and Basel III capital compliance, while industrial firms must navigate global supply chain disruptions and the energy transition. Companies that manage their working capital efficiently, optimise their capital structures, adopt sustainable dividend policies, make disciplined investment decisions, and strengthen corporate governance will be best positioned to navigate these challenges and deliver long-term value to all stakeholders.

This report has contributed a structured analytical framework for evaluating financial performance across banking and non-banking firms in Bangladesh. Future research could extend this framework to a larger cross-section of listed companies, incorporate primary data collection (management surveys, credit officer interviews), and formally model the relationship between governance quality and financial performance using regression analysis. The development of Bangladeshi corporate governance indices and the integration of ESG metrics into performance analysis represent particularly fruitful directions for future academic and practitioner research.

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